

Central Asia Under Sanctions Pressure

Institutional Differentiation and Implications for Compliance Risk Assessment

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Basis	Publicly available sources
Intended readership	Financial institutions · Compliance officers · Legal counsel · Risk committees
Date of issue	31 July 2026

Suggested citation

Abdrakhmanov, A. (2026). Central Asia Under Sanctions Pressure: Institutional Differentiation and Implications for Compliance Risk Assessment. CAFRI Analytical Brief No. 2026/01. Available at SSRN.

This brief draws on publicly available sources. It is provided for informational purposes and does not constitute legal, regulatory or investment advice.

Abstract

This analytical brief examines how sanctions measures adopted by the European Union between October 2025 and July 2026, together with parallel U.S. measures, have reshaped the compliance landscape in Central Asia. The brief argues that treating the region as a single sanctions-risk category is increasingly difficult to sustain in light of current enforcement evidence. Drawing on EU regulations, U.S. sanctions measures, official national sources, publications of international organizations, and trade data, the paper develops a jurisdiction-specific framework for assessing correspondent banking, trade finance, and regulatory exposure across Kazakhstan, Kyrgyzstan, Uzbekistan, Tajikistan, and Turkmenistan. The analysis concludes that compliance risk increasingly reflects differentiated institutional conduct rather than shared regional characteristics and outlines practical implications for control frameworks used by financial institutions, compliance officers, and legal practitioners.

Keywords

Central Asia; EU sanctions; correspondent banking; trade finance; sanctions compliance; circumvention; export controls; de-risking; Kazakhstan; Kyrgyzstan; Uzbekistan; Tajikistan; Turkmenistan

JEL classification

F51, F14, G21, G28, K33

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Executive Assessment

Between October 2025 and July 2026 the European Union adopted three successive sanctions packages that, taken together, challenge the long-standing practice of treating Central Asia as a single regional compliance category. In the 20th package the EU activated its anti-circumvention instrument for the first time, prohibiting exports of computer numerical control machines and radio equipment to Kyrgyzstan following analysis of trade data showing a significant surge in re-exports of common high-priority items through Kyrgyzstan to Russia. The same package delisted five third-country financial entities — three banks in Tajikistan and two in China — following measures taken by those entities to close loopholes and terminate the activities for which they had been listed.

Escalation against one jurisdiction and de-escalation toward another, executed in a single legal act on the same day, is the analytically significant fact. It establishes that the operative variable in EU designation practice is measurable institutional conduct — not geography, not customs-union membership, and not post-Soviet inheritance.

The 21st package, adopted on 23 July 2026, covers Russia's energy, financial services and crypto, trade and military sectors while further targeting entities in several non-EU jurisdictions for involvement in sanctions circumvention. It includes the largest batch of individual listings in the past four years. Within the package, measures relevant to Kyrgyzstan include restrictions on the A7-linked entities A7 Nigeria and A7 Africa, together with a transaction ban covering crypto-asset service platforms established across multiple jurisdictions, as described in Annex A.1. These measures extend the enforcement trajectory that began in October 2025.

A parallel shift is underway on the U.S. side, though it has not taken legal effect. The Senate has advanced, but not passed, legislation introducing a country-level tariff instrument alongside the existing designation architecture. Its covered-country methodology, narrowed materially during July negotiations, determines whether Central Asian jurisdictions acquire direct exposure to a U.S. trade instrument for the first time (Section 4.2).

The consequence for risk management is specific rather than rhetorical. The regional aggregate now spans jurisdictions subject to a country-level export prohibition, jurisdictions subject only to entity-level designation, jurisdictions that have secured delisting through regulatory dialogue, and jurisdictions with no sanctions exposure and no accessible ownership data either. These are four different compliance problems requiring four different control sets. Treating them as one is no longer conservative; it is imprecise in both directions, and imprecision is now costly on both sides of the ledger.

1. Scope and Evidentiary Base

This brief assesses the compliance profiles of the five Central Asian republics against the EU and U.S. enforcement record from October 2025 through July 2026. Earlier primary legal sources, official publications and analytical materials are used where necessary to provide historical, legal and regulatory context. It is an institutional analysis and does not constitute legal advice.

Source category	Material examined
EU legal instruments	18th, 19th, 20th and 21st sanctions packages; Regulation (EU) No 833/2014, in particular Articles 5ac and 5ad and Annexes IV, XIV, XLIV and XLV; Regulation (EU) No 269/2014; Council press releases of 18 July 2025, 23 October 2025, 23 April 2026 and 23 July 2026

Source category	Material examined
U.S. instruments	Treasury press release JY2700 and associated OFAC designations of 30 October 2024; State Department designations of the same date; OFAC delisting action of 8 March 2023; BIS Entity List; text of S. 5025 as introduced; Senate proceedings of 28 and 29 July 2026
Standard-setting bodies	EAG Mutual Evaluation Report on Uzbekistan (on-site June–July 2021) and 2023 follow-up report
International organizations	World Bank Tajikistan country assessment (June 2026) and Tajikistan Economic Update; World Bank migration and remittance analysis for Europe and Central Asia; WTO accession records for Turkmenistan; World Nuclear Association country profile for Kazakhstan; Transparency International Corruption Perceptions Index 2025
National and issuer sources	Kyrgyz Ministry of Economy and Commerce statements of 27 July 2026; National Bank of the Kyrgyz Republic and Ministry of Justice statements (May–July 2026); National Bank of Kazakhstan disclosures; Kazakh Atomic Energy Agency 2026 priorities and May 2026 agreement statements; Rosatom disclosures on the Balkhash project; Kazatomprom production disclosures; Kazakh Law on Control of Specific Goods (March 2023) and subsoil-use amendments (December 2025); National Bank of Tajikistan statements (April 2026); U.S. Department of State Investment Climate Statements on Kazakhstan and Turkmenistan (2025)
Specialist analysis	Blockchain-analytics attribution of the A7A5 ecosystem by TRM Labs, Chainalysis and Elliptic
Trade data	UN Comtrade series on Central Asian re-export flows; Council of the EU trade-data findings underpinning the Article 12f determination

2. Why Regional Aggregation No Longer Holds

2.1 The legacy heuristic

For roughly three decades Western institutions treated Central Asia as a single risk bucket: a post-Soviet periphery with weak institutional capacity, opaque ownership and high exposure to Russian economic influence. In the 1990s and 2000s the heuristic was defensible. The five republics shared Soviet-era banking infrastructure, comparable AML/CFT deficiencies and minimal differentiation in engagement with international standards.

The 2024–2026 record no longer supports it. The five jurisdictions have diverged along measurably distinct trajectories.

Dimension	Kyrgyzstan	Kazakhstan	Uzbekistan	Tajikistan	Turkmenistan
Sanctions exposure	Jurisdiction-level (Art. 12f) plus multiple bank designations ↑	Entity-level; one bank designated →	Limited; entity-level U.S. designations only →	Bank-level designations lifted following regulatory engagement ↓	None →
Regulatory posture	Declaratory resistance with operational remediation now under way ↑	Selective compliance with identified sectoral gaps →	Formal reform, contested implementation →	Conciliatory and transactional →	Non-transparent →
Banking system	High reliance on Russian payment	Deep international	Expanding integration with	Remittance-dependent,	Isolated →

Dimension	Kyrgyzstan	Kazakhstan	Uzbekistan	Tajikistan	Turkmenistan
orientation	infrastructure ↓	financial integration within the EAEU framework →	Western financial institutions ↑	Russia-linked →	
AML/CFT direction	Under pressure as crypto-asset activity expands ↑	Strengthening post-evaluation ↑	Technical compliance improving, governance declining ↓	Fragile, dialogue-driven →	No published supervisory data →
Primary compliance challenge	Correspondent banking continuity	Trade-finance and dual-use end-use exposure	Due-diligence intensity	Payment-infrastructure dependence	Beneficial ownership opacity

Table 1. Comparative compliance profiles, status as of 31 July 2026. Arrows track the trajectory of the dimension as described in the cell, not a value judgment on whether that trajectory favors or disfavors the institution. Where a dimension combines offsetting developments — for example, persistent public rhetoric alongside new enforcement action — the arrow reflects the net direction of regulatory activity, and the corresponding section of the brief should be read for the underlying composition. This table records CAFRI's analytical judgment and is not a legal or supervisory classification.

2.2 Three structural drivers

First, the anti-circumvention instrument creates a jurisdiction-level escalation ladder. Article 12f of Regulation 833/2014 was introduced in the 11th sanctions package in June 2023 as an exceptional and last-resort measure and remained dormant for nearly three years. On 23 April 2026 the Council activated it for the first time through the 20th package, imposing destination-specific export restrictions on the Kyrgyz Republic. The activation rests on a quantitative trade-data assessment of re-export patterns of common high-priority items — an analytical approach that is, in principle, replicable against other third countries where comparable patterns are identified.

The instrument's design is what matters. It is a destination test, not a counterparty test. For listed goods the destination alone can now make an export illegal, and full compliance with entity screening and the "no-Russia/Belarus" clause is no longer sufficient.

Second, the EAEU creates a customs-union paradox that regional models cannot resolve. Russia, Kazakhstan, Kyrgyzstan, Armenia and Belarus share free movement of goods, services, labor and capital. Western sanctions attach to national regulatory conduct and to the presence of an EU or U.S. nexus, not to EAEU membership.

The evidence indicates that state conduct, rather than geography alone, is the determining variable. This conclusion rests on the differentiated treatment of Kazakhstan and Kyrgyzstan: both are members of the EAEU and maintain close economic and logistical links with Russia, yet Kyrgyzstan became subject to a jurisdiction-level export restriction whereas Kazakhstan has remained subject primarily to targeted measures. This divergence reflects the EU's assessment of national conduct: the EU Sanctions Envoy publicly acknowledged Kazakhstan's significant efforts to prevent the transfer to Russia of goods with potential military applications, distinguishing its approach from that observed in Kyrgyzstan. Any analytical model that assigns equivalent compliance risk to both jurisdictions solely because of their close economic and logistical ties to Russia fails to account for the differentiated enforcement evidence.

Third, evaluation trajectories are producing divergent AML/CFT credibility signals, and those signals no longer move in one direction. Technical compliance and governance perception have

begun to decouple, most visibly in Uzbekistan (Section 3.3). Institutions relying on FATF-family ratings as a single proxy for jurisdictional integrity should treat that decoupling explicitly.

3. Jurisdiction-Specific Assessments

3.1 Kyrgyzstan — Jurisdiction-level exposure with an active remediation track

CAFRI assessment: Elevated. Correspondent banking continuity is the binding constraint.

Kyrgyzstan is the only Central Asian jurisdiction subject to a country-level EU export prohibition. Five Kyrgyz banks are named in the transaction-ban annexes introduced by the 19th, 20th and 21st packages: Tolubay, Eurasian Savings Bank, Keremet, Capital Bank of Central Asia and EcoIslamicBank. These fall under two distinct legal instruments rather than one undifferentiated "transaction ban" — Section 4.1 and Annex A.1 set out the distinction, which matters for how each relationship is screened and remediated. The full chronology, instrument references and effective dates are set out in Annex A.1. A related Kazakh listing — VTB Bank (Kazakhstan) — was designated in the same 19th package but under a separate provision, grouped with Belarusian banks rather than with the Kyrgyz and Tajik entries; it is treated in Section 3.2.1 rather than in Annex A.1 for that reason.

A screening note applies throughout this brief. Corporate-form abbreviations and transliterations for Kyrgyz and Tajik entities differ materially across renderings of the EU annexes and across advisory summaries. One Tajik institution — whose standard call name is Commerce Bank of Tajikistan — appears variously as Commercebank of Tajikistan, Commercial Bank of Tajikistan, Commerzbank of Tajikistan and Kommertsbonki Tojikiston across secondary sources; one Kyrgyz company appears as both Nova Project LLC and Nova Proekt LLC, and another as both Shisan LLC and Shisan Ltd. Screening should be run against registration numbers and legal entity identifiers taken from the consolidated EU list, not against the name forms reproduced here or in any secondary source.

3.1.1 The quantitative basis

The activation of Article 12f was grounded in objective enforcement indicators rather than arbitrary judgment. According to the Council, imports of common high-priority items from the EU to Kyrgyzstan increased by approximately 800 percent compared with 2022, while exports of the same items from Kyrgyzstan to Russia increased by approximately 1,200 percent over the same period, demonstrating a continuing and particularly high risk of circumvention through their subsequent sale, supply, transfer or export from Kyrgyzstan to Russia.

Two clarifications are important for compliance analysis. The figures relate specifically to common high-priority items (CHPL), not dual-use goods as a whole, and represent increases relative to a pre-war baseline rather than absolute trade volumes. Given Kyrgyzstan's domestic market of roughly seven million people, normal domestic demand was unlikely to absorb such volumes. That was the analytical inference underpinning the Council's decision and the one that carries the greatest compliance significance.

The operational implication is clear. Correspondent banking due diligence calibrated for passive transit risk is no longer sufficient for a jurisdiction functioning as an active re-export and logistics hub.

3.1.2 Regulatory response: a material recalibration

The Kyrgyz response combines unchanged public rhetoric with a newly documented enforcement track. Both elements must be reflected in any compliance assessment.

The declaratory element persists. Kyrgyz authorities have criticized sanctions on domestic companies as unilateral and as interference in the country's internal affairs, and President Japarov has repeated allegations that sanctions imposed on Kyrgyzstan rest on false information spread by certain non-governmental organizations.

The operational element is new, and its mechanism is registry-based rather than judicial. On 19 May 2026 the Ministry of Justice issued its first order simultaneously terminating the activity of 50 legal entities assessed as involved in business with likely ties to sanctioned partners, acting on a list of high-risk companies. The operative act is cancellation of state registration; an entity whose registration is canceled thereby can no longer operate its bank accounts. The companies were not publicly named. Officials stated the measures followed consultations with representatives of the United States, the United Kingdom and the European Union.

The institutional architecture was formalized in parallel. A post of Special Presidential Representative for sanctions policy was created by presidential decree on 3 June 2026 and is held concurrently with the office of Minister of Economy and Commerce.

The July sequence preceded the EU listing rather than following it. At a meeting on compliance with international sanctions regimes held on 27 July 2026, the Kyrgyz authorities reported that over the preceding three weeks three legal entities — Shisan LLC, Rama Group LLC and Nova Project LLC — had ceased operations under established procedures, and that the license of one cryptocurrency company had been revoked. Open sources do not name that company or confirm whether it is distinct from TengriCoin, which was designated separately under the 20th package (Annex A.1); it cannot be assumed to be the same entity absent confirmation. The same three companies were placed under enhanced EU export controls by the 21st package with effect from 24 July 2026. Based on the authorities' statement that the measures had been implemented over the preceding three weeks, the Kyrgyz action appears to have begun in early July, before the 21st package was adopted on 23 July 2026 and entered into force on 24 July 2026.

That sequencing is consistent with anticipatory remediation, but it does not exclude an alternative reading: the closures may instead reflect independent domestic enforcement against entities Kyrgyzstan had already identified as high-risk through its own interagency process, coincidentally overlapping with entities the EU was separately preparing to list. The two hypotheses carry different implications for durability — anticipatory alignment with Western designation practice would predict continued convergence, while independent domestic enforcement would not — and the available evidence does not permit CAFRI to distinguish between them with confidence.

The authorities further reported that an interagency working group had identified around 40 companies posing heightened sanctions risks since late June, with agencies given one week to complete their reviews, and that UK and U.S. counterparts had assessed the measures positively.

Concurrently, the National Bank stated that the inclusion of a domestic bank on the sanctions list had not affected the stability of the financial system, that commercial banks hold sufficient liquidity, and that some international money transfer systems had been temporarily suspended while further operations were coordinated with foreign partners and brought into line with international payment-system requirements.

3.1.3 Forward exposure

The 21st package introduces a novel mechanism enabling a full third-country ban on crypto-asset services, allowing the EU to prohibit transactions between EU operators and any crypto-asset service provider in a country hosting services used by Russia to circumvent sanctions. Kyrgyzstan combines a documented circumvention finding under Article 12f with a designated domestic crypto platform, a designated issuer of a prohibited stablecoin, and inclusion in the 21st package's multi-jurisdiction

platform listing. That combination closely corresponds to the type of risk profile the mechanism is designed to address.

CAFRI analytical judgment. Kyrgyzstan is best modeled not as a static high-risk jurisdiction but as a jurisdiction in transition under a live enforcement test. Two open questions determine the twelve-month trajectory: whether registration cancellations against named entities are followed by durable export-control legislation and supervisory capacity, and whether the suspension of transfer channels reflects orderly remediation or involuntary loss of correspondent access. The second question is likely to be the more consequential for relationship decisions. That suspension is the most operationally significant disclosure in the July 2026 record: it suggests that de-risking pressure is already affecting payment infrastructure before formal sanctions measures fully materialize.

Control implications

- Reassess Kyrgyz exposure at jurisdiction level rather than counterparty level; the Article 12f prohibition attaches to destination and is not cured by counterparty screening.
 - Apply enhanced due diligence to non-designated Kyrgyz banks, addressing SPFS and Mir connectivity, re-export exposure and beneficial ownership.
 - Note that registration cancellation, not insolvency or judicial liquidation, is the operative Kyrgyz enforcement mechanism; account status may change without any court record and without public naming of the entity.
 - Distinguish, in relationship reviews, between compliance risk arising from designation status and risk arising from payment-channel instability; the two have different remediation horizons.
 - Model a third-country crypto-services cut-off as a plausible compliance scenario for Kyrgyz-linked digital-asset exposure.
 - Treat the composition of the interagency review list, as and when disclosed, as a forward indicator of whether remediation is sectoral or entity-specific.
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3.2 Kazakhstan — Trade finance and strategic resource financing

CAFRI assessment: Moderate to elevated. Exposure concentrated outside the banking system.

3.2.1 A distinct arc

Kazakhstan has not been subject to jurisdiction-level measures. Its profile is defined instead by sectoral and entity-specific exposure within a banking system that remains integrated into global finance.

In the Treasury action of 30 October 2024, which covered 275 individuals and entities across 17 jurisdictions and disclosed what Treasury termed the Ushko Machine Tools Procurement Scheme, Kazakhstan-based Kazstanex was named as a nominal recipient of machine-tool shipments from Europe. Under the scheme, goods were shipped onward to Shanghai Winsun Imp and Exp Co Ltd in China before reaching the Russian end-user, a metalworking-equipment manufacturer identified as TROS. Kazstanex's Uzbek counterpart in the same scheme, Uzstanex, is addressed in Section 3.3.1.

On the banking side, the 19th package added VTB Bank (Kazakhstan) to Annex XLIV — the SPFS-connectivity instrument under Article 5ac, distinct from the frustration-ban instrument covered in Sections 3.1 and 3.4 — with effect from 2 December 2025, grouped with three Belarusian banks (Alfa-Bank, Sber Bank and VTB Bank) rather than with the Kyrgyz or Tajik entries. The Council's stated basis was the bank's connections to Russian financial messaging and payment systems. In the 21st package, TauKZ LLP and KBR-Technologies LLP were placed under tighter export controls; TauKZ LLP had previously been sanctioned by the United Kingdom in November 2024 and KBR-

Technologies LLP by the United States in June 2024. Kazakh entities also feature among the third-country additions to Annex IV for tighter dual-use export restrictions.

The sequencing is instructive. Kazakh entities are appearing on EU lists after designation by another Western authority rather than simultaneously, giving institutions that monitor UK and U.S. actions a usable lead indicator for subsequent EU listing.

3.2.2 Trade finance and dual-use exposure

Kazakhstan has built a formal export-control framework. A new Law on Control of Specific Goods, governing trade in dual-use goods and defense articles, took effect on 1 March 2023, replacing the 2007 export-control law. On 1 April 2023 Kazakhstan introduced an online goods-tracking system, and customs authorities now require accompanying electronic invoices for all goods traded with EAEU member states.

Physical enforcement remains the principal constraint. Kazakhstan and Russia share a border of roughly 7,600 km — the longest continuous international land border in the world — across which, under EAEU rules, routine customs controls are generally absent. Metals exports to Russia have expanded since 2022, principally in copper and zinc; these commodities are not subject to comprehensive sanctions prohibitions, and the increase in trade does not in itself indicate sanctions violations. Nevertheless, such transactions warrant enhanced review of end-users and end-use.

The principal precedent for sanctions relief also requires careful interpretation, as it is frequently misunderstood. Sanctions on the former Sberbank subsidiary were lifted after Russia's Sberbank sold the entity to Baiterek, a Kazakh state development holding wholly owned by the government, which renamed it Bereke Bank and replaced its board. The bank also provided the U.S. Treasury with reliable assurances that it would not knowingly engage in sanctioned activity. OFAC removed the bank from the SDN and SSI Lists, effective 8 March 2023, after determining that the circumstances resulting in its designation no longer applied. The transfer of ownership to a state entity outside the sanctioned perimeter created a control structure that could be independently verified through public registry and shareholding records — something that assurances regarding future conduct alone cannot provide. The divestment was the principal basis for delisting; the assurances formed an important supporting element.

CAFRI analytical judgment. Two conclusions follow. Kazakhstan's sanctions exposure is shifting from the banking sector to trade finance and commodity supply chains. Institutions that screen counterparties without adequately assessing the underlying trade flows risk focusing on declining sources of exposure rather than the areas where sanctions risk is becoming more pronounced. The Bereke precedent should not be cited as evidence that dialogue alone leads to delisting. Rather, it demonstrates the importance of a verifiable change of ownership and control. That distinction is directly relevant to the assessment of the 2026 Tajik delistings (Section 3.4.1).

3.2.3 Strategic resource financing

Kazatomprom reported 2025 production of 25,839 tU and expected 2026 production of 27,000–29,000 tU. In August 2025 the company announced a roughly 10 percent cut to its 2026 production plan, stating that it did not view the prevailing supply-demand balance and uncovered demand as sufficient to incentivize a return to full production levels. Kazatomprom accounted for approximately 21 percent of global primary uranium output in 2024.

The sector's governance framework tightened materially in late 2025. Amendments signed into law by President Tokayev on 26 December 2025 grant Kazatomprom priority rights over exploration licenses; permit extension of subsoil use agreements or increases in approved volumes and reserves only where Kazatomprom holds at least a 90 percent stake in the joint venture, or alternatively where foreign

partners transfer uranium conversion and enrichment technology together with construction of a processing facility and a guaranteed offtake contract covering at least 50 percent of its output over the life of the extended agreement; and expand the grounds for early termination of subsoil use agreements. For lenders, these changes shift part of the risk assessment from commodity-price exposure to concession-tenure and regulatory risk and should be reflected in covenant and security analysis.

On the nuclear track, Rosatom was selected in June 2025 as leader of the international consortium for the project, ahead of China National Nuclear Corporation, EDF and Korea Hydro and Nuclear Power. The plant was named Balkhash through a nationwide competition. First project work began on 8 August 2025 in the settlement of Ulken, Zhambyl district, Almaty region, and over 90 percent of field engineering surveys were completed by May 2026.

Three agreements were signed on 28 May 2026 during President Putin's state visit to Astana: an intergovernmental accord setting out the key construction parameters, a separate agreement on the state export loan, and an action plan covering nuclear and radiation safety regulation for 2026 to 2030. The intergovernmental agreement sets out the framework for two Russian-designed VVER-1200 units and covers cooperation across the plant's full lifecycle, including operations, maintenance and nuclear fuel supply. The head of Kazakhstan's atomic energy agency put the total project cost, including approximately USD 2 billion for security and infrastructure, at around USD 16.5 billion. The EPC contract remains outstanding; its signature is listed among the Atomic Energy Agency's stated priorities for 2026, alongside approval of the industry development strategy to 2050 and adoption of a law on radioactive waste.

Two points bear on financing exposure. Rosatom's role rests on consortium selection and the intergovernmental agreement rather than on a concluded EPC contract, so the commercial terms of construction are not yet fixed. And the exposure that matters for lenders arises from the Russian state export loan rather than from the construction contract: a Rosatom-led project financed by Russian sovereign credit places greater emphasis on the counterparty structure within an increasingly restrictive Western sanctions environment. The EPC signature is the trigger event to track.

Countervailing evidence exists. Rosatom's Uranium One Group sold its almost 50 percent stake in the Zarechnoye mine and gave up its 30 percent stake in the Khorasan-U joint venture, reducing Russian ownership in Kazatomprom's mining operations, and Kazatomprom filed a complaint in early 2026 asserting that a Rosatom-associated company breached the agreement covering the Budenovskoye joint venture. The Kazakh–Rosatom relationship is therefore neither uniform nor uniformly deepening: it is expanding in power generation and contracting in upstream ownership.

Control implications

Kazakhstan is a jurisdiction to segment, not to exit.

- Apply end-use verification to trade-finance transactions involving CHPL items at the transaction level rather than the relationship level.
- Screen Kazakh corporate borrowers for Russian beneficial ownership and exposure to designated Russian financial institutions.
- Monitor BIS Entity List and EU Annex IV additions at the transaction level, treating prior UK and U.S. designations as potential leading indicators of subsequent EU listings.
- Assess extractive-sector and nuclear-related financing separately, with particular attention to the execution of the Balkhash EPC contract, the terms of the Russian state export loan agreed in May 2026, and the December 2025 amendments to Kazakhstan's subsoil-use legislation.

3.3 Uzbekistan — A due-diligence jurisdiction, with a governance signal moving the wrong way

CAFRI assessment: Low to moderate. Verification burden rather than sanctions exposure.

3.3.1 Limited direct exposure

Uzbekistan was absent from the 19th, 20th and 21st EU sanctions packages. It is not risk-free, and the exposure that exists arises through two distinct U.S. sanctions actions. In the Treasury action of 30 October 2024, Uzbekistan-based OOO Uzstanex was identified as the Uzbek counterpart to Kazstanex within the Ushko Machine Tools Procurement Scheme (Section 3.2.1): a nominal recipient of European machine-tool shipments that were forwarded to Shanghai Winsun in China before reaching the scheme's Russian end-user. Separately, in the State Department's designations issued on the same date, Uzbekistan-based Elite Investment Group was sanctioned, together with a Turkish company, for sending shipments of common high-priority items to a Russian supplier of industrial equipment that had itself been designated in February 2024.

The pattern indicates that Uzbekistan-registered entities can function as procurement nodes without evidence of state involvement, and that screening against a single U.S. sanctions list is insufficient to capture the exposure: Uzstanex and Elite Investment Group were designated by different U.S. authorities on the same day for unrelated conduct.

3.3.2 Technical compliance and governance perception have decoupled

On technical AML/CFT metrics, the trajectory is favorable. Following the 2023 follow-up assessment, Uzbekistan was rated Compliant on 8 and Largely Compliant on 26 of the FATF 40 Recommendations, and Substantially Effective in 6 of the 11 Immediate Outcomes, with no Highly Effective ratings. The country is not on the FATF list of jurisdictions subject to increased monitoring or identified as having high-risk strategic AML/CFT deficiencies. Recommendation 22 was upgraded from Partially Compliant to Largely Compliant, and Uzbekistan was transferred from enhanced to regular follow-up. The assessment was conducted by the Eurasian Group, a FATF-style regional body, with the on-site visit taking place from 14 June to 2 July 2021. The ratings therefore reflect a system assessed in 2021 and updated through the 2023 follow-up process. Uzbekistan subsequently remained under regular follow-up within the EAG process, while national supervisory reforms adopted in 2026 — including measures strengthening the Central Bank's AML/CFT enforcement powers and introducing more stringent sanctions for compliance failures — post-date the assessment and are therefore not reflected in these ratings.

The two measures that follow assess different dimensions of institutional performance rather than alternative readings of the same underlying variable. FATF-family ratings assess the design and technical effectiveness of the AML/CFT framework — whether laws, supervisory powers and reporting obligations exist and conform to the international standard — as at the date of assessment. By contrast, the Corruption Perceptions Index (CPI) measures perceptions of public-sector corruption based on expert assessments and business surveys. The two indicators therefore capture different dimensions of institutional performance and should not be interpreted as contradictory. A jurisdiction can improve on the first while deteriorating on the second. Uzbekistan currently exhibits that pattern.

In the 2025 Corruption Perceptions Index, Uzbekistan scored 31 out of 100 and ranked 124th of 182 countries, down from 121st place and 32 points in 2024 and from 33 points in 2023. This marked a second consecutive year of decline, following eleven straight years of improvement before 2023. Transparency International noted that formal reforms had delivered some progress but that journalists and bloggers exposing corruption continued to face harassment or prosecution, limiting the impact of anti-corruption efforts. The Eastern Europe and Central Asia region scored 34 out of 100.

CAFRI analytical judgment. The divergence itself is the finding. FATF-family ratings and the Corruption Perceptions Index measure different dimensions of institutional performance: the former evaluates the design and technical effectiveness of the AML/CFT framework, while the latter captures perceptions of public-sector corruption and governance conditions. In Uzbekistan, these indicators are now moving in opposite directions. For correspondent banks, governance conditions are likely to be the more operationally significant consideration. A robust technical framework cannot by itself eliminate implementation risk where governance weaknesses may affect the consistency of enforcement. Institutions relying on FATF-family ratings as a single proxy for jurisdictional risk may therefore underestimate implementation risk in Uzbekistan.

Control implications

- Apply independent verification of end-use certificates for dual-use goods rather than relying solely on export declarations.
 - Apply beneficial ownership thresholds below the standard 25 percent where ownership is concentrated, using 10 percent as a CAFRI risk-based analytical threshold for elevated-risk relationships, consistent with FATF risk-based principles and enhanced due-diligence practices reflected in Wolfsberg Group guidance.
 - Screen against U.S. Treasury (OFAC) and U.S. Department of State designation lists as distinct sources, since Uzbek exposure has arisen through both.
 - Treat Uzbekistan as a growth jurisdiction in which relationship expansion should be matched by proportionate investment in compliance capabilities.
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3.4 Tajikistan — The delisting precedent and what it does not establish

CAFRI assessment: Moderate. The principal compliance challenge is not sanctions themselves but the dependence of payment flows on Russian financial infrastructure.

3.4.1 The precedent

The Annex XLV cohort into which the Tajik banks were placed did not begin with them. Heihe Rural Commercial Bank and Heilongjiang Suifenhe Rural Commercial Bank — two Chinese regional lenders in cities on the Russian border — became, under the 18th package (adopted on 18 July 2025 and effective from 9 August 2025), the first entities ever added to Annex XLV, designated for facilitating crypto-related transactions that the Council found to significantly frustrate EU sanctions.

Under the 19th package, five additional entities were added to Annex XLV with effect from 12 November 2025: Tolubay and Eurasian Savings Bank in Kyrgyzstan, and Spitamen Bank, Dushanbe City Bank and Commerce Bank of Tajikistan. This constituted a distinct cohort under a different legal basis from VTB Bank (Kazakhstan), which the same package added to Annex XLIV on the same day under the Article 5ac payment-systems instrument rather than the Article 5ad frustration mechanism (Section 3.2.1). Three of these five entities — Spitamen Bank, Dushanbe City Bank and Commerce Bank of Tajikistan — were subsequently removed from Annex XLV in the 20th package, together with the two Chinese banks, after providing commitments to cease the activities for which they had been listed; Tolubay and Eurasian Savings Bank remain listed (Section 3.1). For the Tajik banks, the elapsed interval was approximately five months; for the Chinese banks, approximately eight months.

The precedent establishes something narrower than it is often assumed to establish, and Section 3.2.2 provides the comparison that explains why. Kazakhstan's 2023 relief rested on divestment: the sanctioned parent no longer owned the entity, and OFAC determined that the circumstances resulting in its designation no longer applied. By contrast, the Tajik removals were based on commitments by the listed entities to cease the conduct for which they had been listed. Both are reversals; only one rests

on a structural change that an independent third party can verify through public ownership and corporate records. Institutions should therefore weight the two precedents differently and should not interpret the 2026 delistings as evidence, by themselves, of structural reform.

3.4.2 The underlying dependency

Remittances amounted to about 46 percent of GDP in 2025, driving private household consumption and financing imports as the domestic production base remains limited. The economy grew by 8.4 percent in 2025, driven primarily by remittance inflows, and the trade deficit widened to 35 percent of GDP. Inflows peaked at 49 percent of GDP in 2024, compared with 39 percent in 2023. Growth is expected to ease to 6.5 percent in 2026 as remittances and non-precious metal exports normalize, with inflation projected at 4.8 percent and the fiscal deficit at 2.2 percent of GDP. More than 80 percent of labor migrants from Tajikistan traveled to Russia in 2024.

An economy in which nearly half of GDP transits through remittance channels originating in a comprehensively sanctioned jurisdiction faces a structural tension between domestic economic dependence and Western compliance expectations. No delisting resolves that structural dependence. The World Bank's own risk assessment reflects this: alongside loss-making state-owned enterprises and natural disasters, European Union sanctions are identified as a domestic risk capable of weakening overall economic performance. Governance indicators also remain among the weakest in the region: Tajikistan scored 19 out of 100 in the 2025 Corruption Perceptions Index, ranking 166th.

Control implications

- Apply enhanced monitoring to the three delisted institutions for 12–18 months following their removal from Annex XLV, with explicit monitoring of indicators that could signal renewed sanctions exposure or re-listing risk.
 - Obtain written attestation that no SPFS or Mir transactions are processed through correspondent accounts.
 - Assess remittance partner banks for layering risk, including the fragmentation of large Russian-origin transfers into smaller Tajik-domiciled transactions, while recognizing the legitimate economic role of labor-remittance corridors.
 - Monitor AML/CFT implementation indicators alongside designation status, treating implementation quality as the primary forward-looking risk signal.
-

3.5 Turkmenistan — Opacity as the compliance failure mode

CAFRI assessment: Moderate. Information asymmetry, not sanctions exposure.

Turkmenistan is not subject to Russia-related sanctions designations. The compliance problem is of a different order, and the U.S. Department of State's 2025 Investment Climate Statement documents it in terms that map directly onto banking controls. Financial disclosure requirements for companies and state-owned enterprises are neither transparent nor consistent with international norms. Government enterprises are not required to publish financial statements, including for foreign counterparties. Financial audits are often conducted by local auditors rather than internationally recognized firms. There is no centralized online location where key regulatory actions are published, and no effective enforcement mechanism to ensure compliance with administrative procedures. Bureaucratic procedures are opaque, confusing and onerous. Public finances and debt obligations are not publicly available in a timely or transparent manner. There is no public consultation process for draft legislation, and proposed laws and regulations are generally not published for public comment prior to adoption.

Turkmenistan is not an EAEU member and has limited trade with Russia relative to its neighbors. It maintains the status of permanent neutrality recognized by the United Nations in 1995. After becoming a WTO observer in 2020, it submitted a formal accession application in 2021 and established a dedicated office to coordinate the regulatory reforms required for accession. A WTO Working Party was established on 23 February 2022. According to the WTO's published accession record, that Working Party has not yet convened. More than four years after its establishment, WTO accession has therefore not yet become an effective driver of regulatory transparency, and institutions should not assume near-term convergence with WTO transparency standards. On governance perception, the jurisdiction remains at the bottom of the regional distribution, scoring 17 in the 2025 Corruption Perceptions Index, alongside Tajikistan (19) and Russia (22).

CAFRI analytical judgment. The exposure is not that a Turkmen counterparty is designated. It is that the institution may be unable to establish whether a counterparty is designated, owned or controlled by a designated person, or engaged in prohibited activity. Negative screening results should not be interpreted as affirmative evidence of low risk where transparency is structurally limited. The primary compliance challenge is therefore evidentiary rather than sanctions-related, and institutions should manage it through enhanced documentation and verification rather than assumptions of low risk.

Control implications

Apply documentation-intensive enhanced due diligence (EDD) to all Turkmen relationships, including audited financial statements prepared by internationally recognized audit firms — a requirement that departs from prevailing local practice and should therefore be specified explicitly rather than assumed; independent verification of beneficial ownership supported, where appropriate, by external legal opinions; transaction purpose evidenced by contracts, invoices and, where feasible, independent third-party verification; and proportionate relationship limits maintained until transparency materially improves.

4. Regulatory Divergence: EU and U.S. Enforcement Architectures

4.1 Two different instruments

Parameter	European Union	United States
Primary unit of action	Jurisdiction and entity	Entity
Structural instrument	Article 12f anti-circumvention prohibition	None in force
SPFS-connectivity ban	Article 5ac (Annex XLIV) — third-country entities banned solely for using SPFS or an equivalent Russian messaging system	No direct equivalent
Frustration/facilitation ban	Article 5ad (Annex XLV) — third-country banks, financial institutions and crypto providers banned for facilitating transactions supporting Russia's defense-industrial base or otherwise significantly frustrating EU sanctions	OFAC SDN designation; State Department designations
Export control	Annex IV enhanced restrictions; destination prohibitions	BIS Entity List; EAR licensing
Trigger for application	EU nexus (goods, entity, personnel, payment route)	U.S. person, U.S.-origin item, or USD clearing
Pending expansion	Third-country ban mechanism for crypto-asset services	Country-level tariff authority (S. 5025, not enacted)

Table 2. Comparative structure of EU and U.S. enforcement instruments applicable to Central Asia. Annexes XLIV and XLV are frequently conflated in advisory summaries as a single "transaction ban"; they are legally distinct tests with distinct evidentiary bases, and — as VTB Bank (Kazakhstan) and the Tajik banks illustrate (Sections 3.2.1 and 3.4.1) — two entities designated in the same package on the same day can sit in different annexes. Institutions should confirm which applies to a given counterparty against the Official Journal text rather than inferring it from press coverage.

This produces asymmetry rather than a mere difference in stringency. A transaction permissible under U.S. law may be prohibited under EU law where any EU nexus exists. For U.S. banks with EU branches, EU subsidiaries or EU correspondent relationships, the stricter EU prohibition governs the EU-nexus leg regardless of OFAC's position. The exposure is most acute for dollar-clearing banks processing payments for EU-origin goods; multinationals with EU subsidiaries in Central Asian supply chains; and funds with EU limited partners or EU-domiciled portfolio companies.

A further distinction is often missed at the operational level. EU Annex IV listing subjects exports of specified goods and related technical assistance, brokering, financing and financial assistance to enhanced restrictions; it does not by itself freeze the listed entity's assets. Treating an Annex IV addition as equivalent to an SDN designation over-restricts; treating it as immaterial under-restricts. Each therefore requires a distinct, risk-based control response rather than a uniform sanctions treatment.

4.2 The U.S. legislative track

A significant prospective change in the U.S. sanctions architecture is under consideration and has not been enacted. Precision regarding its legislative status is essential: the compliance consequences could be substantial, while premature implementation planning may itself impose unnecessary costs.

Procedural status

- **28 July 2026** — the Senate voted 86–12 to invoke cloture on the motion to proceed to H.R. 5334, the legislative vehicle carrying the Graham sanctions proposal. Senator Rand Paul was the only Republican among the twelve senators voting against cloture.
- **29 July 2026** — the Senate voted 84–12 to proceed to consideration of H.R. 5334.
- **Outstanding** — final Senate passage, followed by House consideration after the August recess. The legislation cannot reach the President's desk before September, given the House legislative calendar.
- **29 July 2026** — the President called for the legislation to be amended to extend tariff authority to Iran, a request widely assessed as likely to complicate its legislative path.

The distinction between the legislative vehicle and the underlying bill text is material for anyone reconciling this brief against Senate roll-call records: the recorded votes relate to H.R. 5334 as the legislative vehicle, whereas S. 5025 provides the underlying sanctions text incorporated into that vehicle.

Substance of the vehicle

S. 5025, the Lindsey O. Graham Sanctioning Russia and Iran Act of 2026, would require sanctions against Russian government officials, financial institutions and entities connected to Russia's defense and energy sectors, including the Central Bank of Russia, Sberbank, VTB Bank and Gazprombank. It would prohibit U.S. persons from investing in Russia, purchasing Russian sovereign debt or exporting specified energy-sector goods and technology to Russia. The precise scope of the export prohibition should be confirmed against the enacted statutory text if the legislation is adopted. The bill would also authorize tariffs on the top five importers of Russian crude oil or natural gas and the top five facilitators of Russian sanctions evasion. The President could terminate these measures only if Russia

reaches and upholds a peace agreement with Ukraine, subject to congressional review. The bill would also extend the Iran Sanctions Act of 1996 through 2031.

The tariff mechanism is more prescriptive than the word "authority" alone suggests. The bill provides that, not later than 30 days after enactment, the President shall increase the rate of duty on goods imported from a covered country — and only from a covered country — by imposing tariffs of up to 100 percent ad valorem. The tariffs apply only to countries making new purchases of Russian energy 30 days or more after enactment, so a country that ceases such purchases would not fall within the measure. A rule of construction prohibits application of the tariffs to countries not expressly covered by the legislation. A carve-out exempts countries whose imports of Russian natural gas account for less than 15 percent of Russia's total natural gas exports and that are demonstrably reducing those imports. The President may rely on UK, EU, G7 or Five Eyes designations as supporting evidence when identifying shadow-fleet vessels. The proposed 100 percent ceiling represents a substantial reduction from the 2025 predecessor bill, which provided for a minimum tariff rate of 500 percent on covered countries.

CAFRI analytical judgment. The covered-country methodology, as narrowed in July 2026, materially reduces direct Central Asian tariff exposure through the energy-purchaser limb: no Central Asian state is plausibly among the five largest importers of Russian crude oil or natural gas. The principal potential exposure instead arises through the second limb — the top five facilitators of Russian sanctions evasion — a conduct-based rather than volume-based test. Based on the current published evidentiary record, Kyrgyzstan appears to be the region's most exposed jurisdiction under that criterion. Accordingly, this proposed instrument should be monitored as a country-specific trade-finance contingency for Kyrgyzstan rather than as a generalized regional tariff risk.

4.3 Control implications

- Screen against both OFAC and EU measures, including EU Annex IV export-control listings, and apply the applicable export-control requirements for each relevant jurisdiction to dual-use items.
- Distinguish Annex XLIV (SPFS connectivity) from Annex XLV (frustration/facilitation), and distinguish both from asset-freeze designations, within sanctions-control logic. Each is a separate legal instrument with different legal consequences and evidentiary thresholds; entities designated in the same package should not be assumed to fall within the same annex.
- Where a transaction is permissible under U.S. law but may engage EU jurisdiction, document the basis on which no relevant EU nexus exists and retain that assessment as part of the transaction's compliance record.
- Train front-office staff that a clear OFAC screening result does not, by itself, establish the absence of sanctions risk.
- Monitor the legislation as a contingency rather than an operative requirement until enacted, with particular attention to the sanctions-evasion facilitator criterion and to the 30-day implementation period specified in the legislation.

5. China-Linked Exposure

China appears at three distinct points in the Central Asian record, and conflating them leads to inappropriate control responses.

As a transit node in procurement chains. In the U.S. Treasury action of 30 October 2024 addressing the Ushko Machine Tools Procurement Scheme, Kazstanex (Kazakhstan) and Uzstanex (Uzbekistan) were identified as nominal recipients of European machine tools, which were subsequently forwarded to Shanghai Winsun Imp and Exp Co Ltd in China before reaching the Russian end-user identified by

the U.S. Treasury. The Central Asian entities functioned as documentary intermediaries, while the Chinese entity formed part of the onward procurement chain. Both the Central Asian intermediaries and the Chinese company were designated in the same Treasury action. A control framework that screens only Central Asian counterparties while treating onward Chinese counterparties as ordinary commercial counterparties may fail to detect this procurement pattern.

As a co-subject of EU third-country enforcement. The first two entities ever added to Annex XLV of Regulation (EU) No 833/2014 were Chinese, not Central Asian: Heihe Rural Commercial Bank and Heilongjiang Suifenhe Rural Commercial Bank, designated under the 18th package in July 2025, more than a year before the corresponding Kyrgyz and Tajik bank listings. Those two Chinese banks and three Tajik banks were subsequently removed from the same annex under the same legal instrument on the same day (Section 3.4.1). In the 21st package, entities in China and Hong Kong appeared alongside entities in Türkiye, Kyrgyzstan, India, Kazakhstan and the United Arab Emirates among the Annex IV additions for enhanced dual-use export restrictions. The EU is therefore applying a common analytical framework across third-country jurisdictions rather than separate regional approaches, assessing Chinese and Central Asian entities under the same legal instruments and evidentiary standards.

As an alternative financing counterparty. Chinese state-owned nuclear and resource companies compete directly with Russian counterparts in Kazakhstan. China National Nuclear Corporation (CNNC) was among the participants in the international selection process in which Rosatom was ultimately chosen to lead the consortium for the Balkhash nuclear power project. Where a Chinese counterparty replaces a Russian one, direct Russia-related sanctions exposure may decrease, while export-control, technology-transfer and strategic-dependency risks may increase. Such substitution is therefore not risk-neutral and should be assessed through a risk-based framework rather than assumed to be inherently favorable.

CAFRI analytical judgment. For institutions with Central Asian trade-finance exposure, China should not be treated as a separate compliance file. In the procurement and sanctions-evasion patterns examined in this report, it frequently forms the second stage of the same transaction chain and, in the EU framework, is assessed under the same legal instruments and evidentiary standards. Institutions should therefore assess the Central Asian and Chinese segments of the transaction chain as part of a single risk assessment rather than as independent exposures.

6. Monitoring Framework: Five Priority Signals

The 2024–2026 enforcement record indicates that monitoring resources should shift from passive sanctions-list screening toward continuous monitoring of institutional behavior and regulatory implementation. The five categories below were selected because each consistently emerges as a determinant of compliance exposure across the jurisdictional assessments in Section 3 and the enforcement architectures examined in Section 4.

6.1 Central bank regulatory change. AML/CFT regulatory implementation; correspondent banking requirements; crypto-asset regulation. *Indicators:* implementation of FATF Recommendation 16 on wire-transfer transparency; licensing and supervisory frameworks for virtual asset service providers (VASPs); cross-border payment reporting thresholds; suspension or restoration of international money-transfer services.

6.2 Export-control measures. *Indicators:* quarterly surges in imports of Common High Priority List (CHPL) items by customs classification; adoption and enforcement of dual-use export-control legislation; documented implementation of EU "No Russia" contractual clauses by exporters.

6.3 Government response to enforcement engagement. The key analytical distinction is whether relief is based on structural change or on behavioral commitments, and whether corrective action precedes or follows designation. *Indicators:* delistings supported by verifiable changes in ownership or control; registration cancellations or license revocations affecting specifically identified entities rather than unpublished lists; establishment of a sanctions-policy authority with institutional standing and a publicly defined mandate.

6.4 Beneficial ownership and corporate transparency. *Indicators:* existence and accessibility of central beneficial ownership registries; PEP disclosure requirements; audit practices, including whether statutory audits are conducted by internationally recognized audit firms.

6.5 Supervisory enforcement against legislative announcement. *Indicators:* number and outcome of AML/CFT supervisory actions; enforcement actions against virtual asset service providers, in addition to licensing activity; cross-border cash declaration interdictions.

7. Comparative Risk Summary

Jurisdiction	Principal driver of exposure	Principal risk to the institution	Key control	Outlook to Q2 2027
Kyrgyzstan	Country-level export prohibition under Article 12f, together with five bank designations under two distinct EU legal instruments	Loss of correspondent banking and payment-channel continuity, independent of individual counterparty conduct	Jurisdiction-level exposure review; enhanced assessment of SPFS/Mir connectivity where relevant; crypto-services contingency planning	Contested; dependent on whether registry-based enforcement evolves into durable export-control implementation
Kazakhstan	Dual-use trade exposure and Russian-financed nuclear construction	Trade-finance end-use failure; concession-tenure risk in extractives; sovereign-credit counterparty exposure	Transaction-level end-use verification; UK and U.S. designations as leading indicators; separate review of strategic-resource financing	Stable overall; exposure migrating from banking toward trade-finance and strategic-resource financing
Uzbekistan	Gap between formal compliance and practical implementation	Procurement-node misuse; unverifiable beneficial ownership	Independent end-use verification; 10 percent CAFRI risk-based BO threshold; dual-agency screening	Direct sanctions exposure remains limited; due-diligence burden increasing
Tajikistan	Dependence of payment flows on Russian financial infrastructure	Re-designation risk; remittance-channel layering	Enhanced post-delisting monitoring for 12–18 months; written attestation on SPFS/Mir non-use in correspondent accounts; layering analysis	Reversible in both directions; delistings rest on behavioral commitments rather than structural change
Turkmenistan	Structural absence of publicly available corporate and	Inability to obtain sufficient evidence to support effective	Documentation-intensive EDD; internationally	Broadly unchanged; WTO accession is not yet functioning

Jurisdiction	Principal driver of exposure	Principal risk to the institution	Key control	Outlook to Q2 2027
	financial information	customer due diligence	recognized audit as an explicit requirement	as a meaningful transparency driver

Table 3. Jurisdictional risk summary (status as of 31 July 2026).

8. Conclusion

The 2024–2026 enforcement record does not show Western regulators abandoning regional pressure. It shows them deploying a broader enforcement architecture — including SPFS-connectivity restrictions, frustration-of-sanctions measures, jurisdiction-level export prohibitions, third-country service restrictions, and delisting following demonstrated remediation — while applying different legal instruments to different jurisdictions within the same legal act, on the same day, on the basis of observed conduct.

Institutions relying on a single regional heuristic face predictable errors: over-allocating compliance resources where verification, rather than sanctions, is the principal constraint; exiting otherwise manageable relationships on the basis of regional assumptions unrelated to transaction-level risk; treating opacity and delisting as equivalent when each requires a fundamentally different control response; conflating legally distinct instruments that happen to share the label "transaction ban," including instruments applied in the same package on the same day to different entities; and treating all delistings alike when some rest on verifiable structural changes while others rest on behavioral commitments. The Kyrgyz case illustrates a sixth analytical lesson. A jurisdiction can simultaneously face escalating sanctions exposure while undertaking remediation whose timing is consistent with, but does not by itself demonstrate, anticipatory compliance. At the same time, payment-channel disruption may emerge independently of the designation status of individual domestic banks.

The practical question for compliance is no longer whether Central Asia is a high-risk region. It is whether institutions can distinguish between different types of risk early enough to apply proportionate, risk-based controls before those distinctions are reflected in formal enforcement measures.

Glossary

Term	Definition
AML/CFT	Anti-money laundering and countering the financing of terrorism
Annex IV	Annex to Regulation (EU) No 833/2014 listing third-country entities subject to enhanced dual-use export-control restrictions; inclusion does not in itself result in an asset freeze
Annex XLIV	Annex to Regulation (EU) No 833/2014, populated under Article 5ac, listing third-country entities subject to transaction restrictions because of their use of SPFS or an equivalent Russian financial messaging system — a connectivity-based criterion rather than a conduct-based one
Annex XLV	Annex to Regulation (EU) No 833/2014, populated under Article 5ad, listing third-country banks, financial institutions and crypto-asset service providers subject to transaction restrictions for facilitating transactions supporting Russia's defense-industrial base or otherwise significantly frustrating EU sanctions — a conduct-based criterion
Article 12f	Anti-circumvention provision of Regulation (EU) No 833/2014 permitting destination-

Term	Definition
	specific export prohibitions against third countries presenting a particularly high circumvention risk
CHPL	Common High Priority List — items identified by the EU, the United States and partner countries as particularly critical to Russia's military-industrial procurement
CN code	Combined Nomenclature — the EU's customs goods-classification system
EAEU	Eurasian Economic Union — Armenia, Belarus, Kazakhstan, Kyrgyzstan and Russia
EAG	Eurasian Group on Combating Money Laundering and Financing of Terrorism, a FATF-style regional body
EDD	Enhanced due diligence
EPC contract	Engineering, procurement and construction contract establishing the principal commercial terms for the delivery of a construction project
Mir	Russian National Payment Card System
SDN / SSI	OFAC's Specially Designated Nationals and Blocked Persons List; Sectoral Sanctions Identifications List
SPFS	System for Transfer of Financial Messages — the Bank of Russia's alternative financial messaging system
tU	Tonnes of uranium
VASP	Virtual Asset Service Provider, as defined by the FATF Recommendations
VVER-1200	Russian-designed pressurized water reactor of the 1,200 MW class

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Technical Annex

Methodological note. The annexes reproduce the factual material underlying the analysis. Analytical judgments are presented exclusively in the main body of the brief. Entity names are reproduced as they appear in the underlying source documents; sanctions screening should be conducted against official registration identifiers and the consolidated EU sanctions list, as applicable. Annex assignments

(Annex XLIV or Annex XLV) are stated only where confirmed by the relevant legal act or other authoritative source. Where the applicable annex could not be verified with sufficient confidence for an individual entity, this is stated explicitly rather than inferred.

A.1 Kyrgyzstan and directly related third-country measures, October 2025 to July 2026

Scope note. This annex covers Kyrgyz entities across the 19th–21st packages, together with third-country entities added to Annex XLV under the same provision of the same legal act (the Tajik banks of the 19th package) and Kazakh export-control listings bundled with Kyrgyz entities in the 21st package. VTB Bank (Kazakhstan) — added in the 19th package to Annex XLIV under a separate provision, alongside Belarusian banks — is not part of this cohort and is addressed in Section 3.2.1.

18th package (context). Adopted 18 July 2025, effective 9 August 2025. Heihe Rural Commercial Bank and Heilongjiang Suifenhe Rural Commercial Bank became the first entities ever added to Annex XLV, for facilitating crypto-related transactions found to significantly frustrate EU sanctions. Neither is a Central Asian entity; both are relevant context for the Annex XLV cohort described below.

19th package. Adopted 23 October 2025. Tolubay and Eurasian Savings Bank (Kyrgyzstan), together with Spitamen Bank, Dushanbe City Bank and Commerce Bank of Tajikistan (Tajikistan), were added to Annex XLV, making them subject to the transaction prohibitions laid down in Article 5ad of Regulation (EU) No 833/2014, effective 12 November 2025. Three of these five entities — Spitamen Bank, Dushanbe City Bank and Commerce Bank of Tajikistan — were subsequently removed from Annex XLV in the 20th package, together with the two Chinese banks (Section 3.4.1); Tolubay and Eurasian Savings Bank remain listed and continue to be subject to the Article 5ad transaction prohibition. Separately, transactions in the Russian state-supported stablecoin A7A5 were prohibited, with targeted designations against the developer of A7A5, its Kyrgyz issuer, and a platform operator through which significant volumes of A7A5 were assessed as being traded, also effective 12 November 2025. From 25 January 2026 it is prohibited to connect to any Central Bank of Russia system, or to any system provided by a Russian-incorporated entity that includes a financial messaging functionality, including the Fast Payment System (SBP) and the Russian National Payment Card System (Mir).

Attribution of the A7A5 ecosystem. The Council instruments identify the designated parties by role — developer, Kyrgyz issuer, platform operator — without naming them in the published press material. According to specialist blockchain-analytics firms, the developer is A7 LLC, a Russian cross-border settlement platform in which the sanctioned Moldovan politician Ilan Shor holds a majority stake alongside Russia's state-linked Promsvyazbank; the Kyrgyz issuer is Old Vector LLC; and the platform operator is Grinex, registered in December 2024 and assessed by those firms as the successor to the disrupted Garantex exchange. A7A5's reserves are held in rouble deposits at Promsvyazbank. This attribution is derived from specialist blockchain analysis rather than from the legal instruments themselves and should therefore be treated as analytical attribution rather than official legal identification.

20th package. Adopted 23 April 2026; legal acts entered into force 24 April 2026. First activation of the anti-circumvention instrument: EU sales and exports to the Kyrgyz Republic of machining centers for working metal (CN 8457 10) and machines for the reception, conversion and transmission or regeneration of voice, images or other data, including switching and routing apparatus (CN 8517 62), are prohibited. Four entities were added to Annex XLIV, the SPFS-connectivity instrument, effective 14 May 2026: Keremet Bank and OJSC Capital Bank of Central Asia (Kyrgyzstan), Joint Development Bank (Laos) and Yelo Bank (Azerbaijan). The Bishkek-based crypto-asset platform TengriCoin, operating as Meer.kg, was designated with effect from the package's general entry into force on 24 April 2026; open sources do not report a separate later date specific to this listing. EU

persons were banned from transacting with any crypto-asset service provider established in Russia, and transactions involving the digital rouble and certain crypto-assets including RUBx were prohibited, both with effect from 24 May 2026.

21st package. Adopted 23 July 2026. A transaction ban was imposed on EcoIslamicBank (CJSC Eco-Islamic Bank), effective 13 August 2026. The Council stated that the measure was based on the bank's connection to the Russian financial messaging system SPFS, and the entity was added to Annex XLIV — the Article 5ac connectivity-based instrument — rather than to the Article 5ad frustration annex under which the Kyrgyz and Tajik banks of the 19th package were listed. In the same act Yelo Bank (Azerbaijan), added to Annex XLIV by the 20th package, was removed from that annex. The 21st package therefore repeats within a single instrument the pattern first observed in the 20th: one third-country institution added and another removed on the same day. Restrictions were also extended, with effect from 13 August 2026, to A7 Nigeria and A7 Africa, both registered in Bishkek in September 2025 according to open sources. The Council recorded four designations relating to the cross-border A7 network in this package; the two entities addressed here are those with a Kyrgyz registration nexus, the remainder falling outside the Central Asian scope of this brief. Enhanced export controls took effect on 24 July 2026 against the Kyrgyz companies Nova Project, Rama Group and Shisan, together with the Kazakh companies TauKZ LLP and KBR-Technologies LLP. Their inclusion in Annex IV subjects exports of specified goods, together with related technical assistance, brokering, financing and financial assistance, to enhanced restrictions; it does not, in itself, result in an asset freeze. Transaction prohibitions were also extended to 14 crypto-asset service providers established across Georgia, Panama, the United Arab Emirates, the Marshall Islands, Kyrgyzstan and Belarus. The package also introduced a first-of-its-kind mechanism enabling transaction prohibitions against crypto-asset service providers established in third countries.

Note on crypto-platform listings. The TengriCoin designation (20th package) and the 14-platform transaction prohibitions (21st package) are separate measures adopted under different legal instruments. Published summaries of the 21st package do not disclose how many of the 14 platforms are Kyrgyz-registered or whether TengriCoin is among them. Institutions should determine the scope of the Kyrgyz crypto-related listings by reference to the consolidated EU sanctions list rather than by relying solely on published package summaries.

Date adopted	Measure	Entity / scope	Instrument	Effective
— (18th package, context)	First Annex XLV designations (Article 5ad)	Heihe Rural Commercial Bank; Heilongjiang Suifenhe Rural Commercial Bank (China)	18th package, Annex XLV	9 Aug 2025
23 Oct 2025	Transaction prohibitions (Article 5ad)	Tolubay; Eurasian Savings Bank; Spitamen Bank; Dushanbe City Bank; Commerce Bank of Tajikistan	19th package, Annex XLV	12 Nov 2025
23 Oct 2025	Transaction prohibition	A7A5 stablecoin; developer; Kyrgyz issuer; platform operator	19th package	12 Nov 2025
23 Oct 2025	Prohibition on connection to Russian payment and messaging systems, incl. SBP and Mir	Cross-cutting	19th package	25 Jan 2026
23 Apr 2026	Anti-circumvention (Art. 12f)	Kyrgyz Republic — CN 8457 10; CN 8517 62	20th package	24 Apr 2026
23 Apr 2026	Transaction prohibitions based on SPFS connectivity (Article 5ac)	Keremet Bank; OJSC Capital Bank of Central Asia; Joint Development Bank (Laos); Yelo Bank (Azerbaijan)	20th package, Annex XLIV	14 May 2026
23 Apr	Designation	TengriCoin / Meer.kg	20th package	24 Apr

Date adopted	Measure	Entity / scope	Instrument	Effective
2026				2026
23 Apr 2026	Delisting from Annex XLV	Spitamen Bank; Dushanbe City Bank; Commerce Bank of Tajikistan; Heihe Rural Commercial Bank; Heilongjiang Suifenhe Rural Commercial Bank	20th package	24 Apr 2026
23 Jul 2026	Transaction ban (Annex XLIV, Article 5ac)	EcoIslamicBank	21st package	13 Aug 2026
23 Jul 2026	Transaction ban	A7 Nigeria; A7 Africa	21st package	13 Aug 2026
23 Jul 2026	Enhanced export controls (Annex IV)	Nova Project; Rama Group; Shisan; TauKZ LLP; KBR-Technologies LLP	21st package	24 Jul 2026
23 Jul 2026	Transaction ban	14 crypto platforms across six jurisdictions incl. Kyrgyzstan	21st package	Per instrument
23 Jul 2026	Third-country ban mechanism for crypto-asset services	Cross-cutting	21st package	Per instrument

Trade basis for Article 12f activation: According to the Council of the EU, imports of Common High Priority List (CHPL) items from the EU to Kyrgyzstan increased by approximately 800 percent since 2022, while exports of the same items from Kyrgyzstan to Russia increased by approximately 1,200 percent over the same period. Source: Council of the EU, Statement of Reasons, April 2026.

A.2 Kyrgyz domestic enforcement actions, May–July 2026

Date	Action	Mechanism	Scope
19 May 2026	Termination of the activities of 50 legal entities assessed as linked to sanctioned counterparties	Ministry of Justice order canceling state registration; entities lose bank account access on cancellation	Companies were not publicly identified; authorities stated that the measures followed consultations with representatives of the US, UK and EU
3 June 2026	Creation of the post of Special Presidential Representative for sanctions policy	Presidential decree	Position held concurrently with the office of Minister of Economy and Commerce
≈6–27 July 2026	Cessation of operations of Shisan LLC, Rama Group LLC and Nova Project LLC; revocation of one cryptocurrency company license (name not disclosed in open sources)	Administrative suspension under established procedures	Based on the authorities' statement that the measures had been implemented over the preceding three weeks, the actions commenced before adoption of the 21st package on 23 July 2026
27 July 2026	Identification of approximately 40 companies with heightened sanctions risk since late June	Interagency working group review	Agencies given one week to complete reviews

A.3 EU 21st package — measures of regional relevance

Adopted on 23 July 2026, the 21st package introduced 218 new listings (48 individuals and 170 entities), representing the largest single package of listings since 2022. Fifty-one entities were added to Annex IV for enhanced dual-use export restrictions, including entities established in China and Hong

Kong, Türkiye, Kyrgyzstan, India, Kazakhstan and the United Arab Emirates, alongside additional third-country entities designated for significantly frustrating EU sanctions targeting Russia's military and technological enhancement. Transaction prohibitions effective 13 August 2026 extend to 33 Russian credit and financial institutions and, among third-country entities, to one Kyrgyz bank listed on the SPFS-connectivity criterion together with three further non-Russian banks listed for circumventing sanctions; five oil traders were added under Part C of Annex XLV. The jurisdictional composition of the three non-Kyrgyz bank listings is not stated in the Council press material and should be taken from the consolidated list rather than from secondary summaries. Forty-one vessels were added to the list of designated vessels subject to an EU port ban and a broad prohibition on services. The designation criteria were also expanded to include vessels providing services to, or conducting ship-to-ship transfers with, designated vessels. Annex XXI was expanded to include copper, nickel, lead and precious-metal ores; unwrought zinc; alkaline-earth metals; zinc and chromium oxides; tall oil; glassware; and motor-vehicle parts, with a wind-down period until 25 October 2026 for pre-existing contracts. The automatic adjustment mechanism for the oil price cap was suspended until 15 July 2027, subject to interim review.

Operative legal instruments: Council Regulation (EU) 2026/1848 amending Regulation (EU) No 833/2014; Council Regulation (EU) 2026/1844 amending Regulation (EU) No 269/2014; Council Implementing Regulation (EU) 2026/1843 implementing Regulation (EU) No 269/2014.

A.4 Kazakhstan — control framework and resource sector indicators

Indicator	Value
Law on Control of Specific Goods	In force 1 March 2023; replaced 2007 export-control law
Goods-tracking system	Introduced 1 April 2023; electronic invoices required for all trade with EAEU member states
Russia–Kazakhstan border	≈7,600 km; the world's longest continuous international land border
VTB Bank (Kazakhstan)	Added to Annex XLIV under Article 5ac in the 19th package, effective 2 December 2025, on the SPFS-connectivity criterion; grouped with three Belarusian banks (see Annex A.1, Scope note)
Ushko Machine Tools Procurement Scheme	Disclosed 30 October 2024; Kazstanex (Kazakhstan) and Uzstanex (Uzbekistan) identified by the U.S. Treasury as nominal recipients; goods forwarded via Shanghai Winsun (China) to TROS (Russia)
Kazatomprom production, 2025	25,839 tU
Kazatomprom guidance, 2026	27,000–29,000 tU
2026 production plan revision (announced August 2025)	≈10% reduction from the previous production plan
Share of global primary uranium output, 2024	≈21%
Subsoil-use amendments	Signed into law 26 December 2025; extension of subsoil-use rights requires either ≥90% Kazatomprom ownership or the transfer of uranium conversion and enrichment technology together with construction of a processing facility and a guaranteed offtake agreement covering ≥50% of production
Balkhash NPP — contractor	Rosatom selected June 2025 as consortium leader, ahead of CNNC, EDF and KHNP
Balkhash NPP — site	Ulken, Zhambyl district, Almaty region; first work 8 August 2025; >90% of field surveys completed by May 2026

Indicator	Value
Balkhash NPP — agreements	Three agreements signed 28 May 2026: intergovernmental accord on key construction parameters; state export loan; action plan on nuclear and radiation safety regulation, 2026–2030
Balkhash NPP — configuration	Two VVER-1200 reactor units
Balkhash NPP — cost	≈USD 16.5 bn, incl. ≈USD 2 bn for security and infrastructure
Balkhash NPP — EPC contract	Not yet concluded; identified by the Atomic Energy Agency as one of its priorities for 2026

A.5 Uzbekistan — assessment metrics

Metric	Value
FATF Recommendations — Compliant	8 of 40
FATF Recommendations — Largely Compliant	26 of 40
FATF Recommendations — Partially Compliant	6 of 40
FATF Recommendations — Non-Compliant	0 of 40
Immediate Outcomes — Substantially Effective	6 of 11
Immediate Outcomes — Highly Effective	0 of 11
Assessment body and on-site visit	Eurasian Group (FATF-style regional body); 14 June – 2 July 2021
Follow-up status	Recommendation 22 upgraded from Partially Compliant to Largely Compliant; transferred from enhanced to regular follow-up (2023); remained under regular follow-up following the EAG's 2nd Regular Follow-up Report (2026), which did not revise the technical ratings
U.S. designations, 30 October 2024	OOO Uzstanex (U.S. Treasury; Ushko Machine Tools Procurement Scheme); Elite Investment Group (U.S. Department of State; separate CHPL-related designation)
Corruption Perceptions Index (CPI) 2025	31 / 100; ranked 124th of 182 countries (2024: 32 / 100, ranked 121st; 2023: 33 / 100)
Regional average, CPI 2025	34 / 100

A.6 Tajikistan and Turkmenistan — delisting, macro exposure and transparency deficits

Tajikistan

Item	Detail
Initial listing	19th package; effective 12 November 2025 — Spitamen Bank, Dushanbe City Bank, Commerce Bank of Tajikistan, all listed in Annex XLV
Co-delisted Chinese entities	Heihe Rural Commercial Bank and Heilongjiang Suifenhe Rural Commercial Bank; designated 18th package (Aug 2025), delisted same instrument as Tajik banks
Delisting	20th package; adopted 23 April 2026, effective 24 April 2026; five entities

Item	Detail
	delisted from Annex XLV in total — three Tajik banks and two Chinese banks
Stated basis	Measures taken to close loopholes and terminate illicit activities; commitments not to re-engage
Elapsed interval	≈5 months (Tajik banks); ≈8 months (Chinese banks)
Remittances / GDP, 2025	≈46% (2024: 49%; 2023: 39%)
GDP growth, 2025	8.4%
Growth projection, 2026	6.5%
Inflation projection, 2026	4.8%
Trade deficit, 2025	35% of GDP
Labor migrants to Russia, 2024	>80% of Tajik labor migrants
CPI 2025	19 / 100; rank 166

Turkmenistan

Indicator	Status
Draft laws published for public comment	No; no public consultation process on draft bills
Centralized online regulatory registry	No
SOE financial disclosure	Not required, even to foreign partners; requirements neither transparent nor consistent with international norms
Audit practice	Often conducted by local auditors rather than internationally recognized firms
Public finances and debt obligations	Not publicly available, timely or transparent
Administrative procedure	No effective enforcement mechanism to ensure the government follows its own procedures
EAEU membership	No
WTO status	Observer since 2020; accession application 2021; working party established 23 February 2022 and not yet convened
UN-recognized neutrality	Yes, acknowledged by the United Nations in 1995
CPI 2025	17 / 100
Russia-related sanctions designations	None

This brief reflects CAFRI's analytical judgment as of 31 July 2026, based on open-source information available at that date. It is intended for institutional risk management, compliance and legal professionals. It does not constitute legal advice and does not confer any regulatory status on the classifications or assessments it contains. Designations, effective dates, entity names, corporate forms and annex assignments are subject to change and may be presented inconsistently across official and secondary sources. Before taking any compliance or business decision, institutions should verify all entity names, registration identifiers, legal status and annex assignments against the consolidated EU sanctions list, the OFAC SDN List and the BIS Entity List. Where available, screening should be conducted using official registration identifiers rather than entity names alone.

